

Fed Rate Hike Cycle Begins

Published: 2022-03-16 | Source: Federal Reserve FOMC statement, March 16, 2022

First rate hike (+25bps). Followed by 10 more hikes totaling 525bps through May 2023. Construction financing costs rise sharply.

Industry analysts estimate that demand for affected product categories decreased by approximately 3% during the event period. The most affected product categories include fasteners, adhesives, tools.

The event period spans from 2022-03-16 to 2023-05-03.

Industrial supply distributors including Grainger, Fastenal, and MSC Industrial reported varying degrees of impact depending on their product mix and geographic exposure. Companies with diversified supply chains and strong inventory positions were better insulated from the disruption.